BAP No. MW 23-03

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE FIRST CIRCUIT

Bankruptcy Case No. 21-40248-EDK

SCOTT H. BLUMSACK,
Debtor

SCOTT H. BLUMSACK
Appellant,

v.

WILLIAM K. HARRINGTON, United States Trustee,
Appellee.

On appeal from the United States Bankruptcy Court for the District of Massachusetts

BRIEF FOR APPELLANT, SCOTT H. BLUMSACK

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STATEMENT REGARDING ORAL ARGUMENT

Pursuant to 1st Circuit BAP L.R. 8019-1, Appellant Scott H. Blumsack respectfully submits that oral argument is warranted and should be allowed in this appeal. This matter raises a novel issue of law in this Circuit: whether an employee of a state-authorized cannabis retailer is ineligible for bankruptcy relief solely due to the nature of his employment. The Panel's consideration of this issue of first impression is likely to be aided and advanced by oral argument from the parties. Appellant, accordingly, respectfully requests an oral argument.

JURISDICTIONAL STATEMENT

This court has jurisdiction to hear appeals from final orders. See 28 U.S.C. § 158(a)-(c); see also *Ritzen Grp., Inc. v. Jackson Masonry, LLC*, 140 S. Ct. 582, 587 (2020) "An order dismissing a [c]hapter 13 case is a final, appealable order." *Benoit v. Deutsche Bank Nat'l Tr. Co. (In re Benoit)*, 564 B.R. 799, 804 (B.A.P. 1st Cir. 2017) (citations and internal quotation marks omitted). See also *Stevenson v. TND Homes I, LP (In re Stevenson)*, 583 B.R. 573, 578 (B.A.P. 1st Cir. 2018) (same).

The underlying matter is a Chapter 13 proceeding under the US Bankruptcy Code, 11 U.S.C. §§ 101 et seq. An Order dismissing the case was entered on January 17, 2023. A timely Notice of Appeal was filed on January 30, 2023. Fed. R. Bankr. P. 8002(a)(1).

STATEMENT OF THE ISSUES

1. Did the Bankruptcy Court err in dismissing the Debtor's Chapter 13 case holding that the Debtor's employment at cannabis dispensaries which involved activities that – while permitted under state law – ostensibly violated federal criminal laws demonstrated lack of good faith and was cause for dismissal of the case pursuant to 11 U.S.C. § 1307(c)?

2. Did the Bankruptcy Court err in dismissing the Debtor's Chapter 13 case pursuant to 11 U.S.C. § 105(a) holding that it would be an abuse of process to permit the Debtor to obtain the protections and benefits of the federal bankruptcy laws while continuing employment which involves activities that – while permitted under state law – ostensibly violate federal criminal laws?

3. Did the Bankruptcy Court err in denying confirmation of the Debtor's Chapter 13 Plan holding that the Debtor's Chapter 13 case was not filed in good faith pursuant to 11 U.S.C. § 1325(a)(7) based on the Debtor's employment at cannabis dispensaries which involved activities that – while permitted under state law – ostensibly violated federal criminal laws?

4. Did the Bankruptcy Court err in denying confirmation of the Debtor's Chapter 13 Plan holding that the Debtor's Chapter 13 Plan was not proposed in good faith pursuant to 11 U.S.C. § 1325(a)(3) based on the Debtor's employment at cannabis dispensaries which involved activities that – while permitted under state law – ostensibly violated federal criminal laws?

5. Did the Bankruptcy Court err in denying the Debtor an opportunity to file a modified Chapter 13 Plan funded exclusively from sources unrelated to cannabis and in dismissing the Debtor's Chapter 13 case pursuant to 11 U.S.C. § 1307(c)(5) where the Debtor has not discontinued his employment

at cannabis dispensaries which involves activities that – while permitted under state law – ostensibly violate federal criminal laws?

STANDARD OF REVIEW

"Appellate courts apply the clearly erroneous standard to findings of fact and de novo review to conclusions of law." *Belser v. Nationstar Mortg., LLC (In re Belser)*, 534 B.R. 228, 233 (B.A.P. 1st Cir. 2015) (citing *Lessard v. Wilton-Lyndeborough Coop. Sch. Dist.*, 592 F.3d 267, 269 (1st Cir. 2010)). "[The Panel] review[s] a bankruptcy court's decision to dismiss a chapter 13 case for abuse of discretion." *Witkowski v. Boyajian (In re Witkowski)*, 523 B.R. 300, 305 (B.A.P. 1st Cir. 2014) (internal citations omitted). "An abuse of discretion occurs when the trial court ignores a material factor deserving significant weight, relies upon an improper factor, or assesses all proper and no improper factors, but makes a serious mistake in weighing them." *Id.* (internal citations omitted). "A finding of bad faith, as a basis for granting a motion to convert or dismiss under § 1307(c), is reviewed for clear error." *Cabral v. Shamban (In re Cabral)*, 285 B.R. 563, 570 (B.A.P. 1st Cir. 2002).

"The standard of review for a denial of confirmation is two part: (1) factual questions are reviewed for clear error; and (2) legal questions are reviewed de novo. An exercise of discretion based on an incorrect conclusion of law is also reviewed de novo." *In re Escarcega*, 573 B.R. 219, 230 (B.A.P. 9th Cir. 2017)

(citing *Fid. & Cas. Co. of N.Y. v. Warren (In re Warren)*, 89 B.R. 87, 90 (B.A.P. 9th Cir. 1988)). Where denial of confirmation presents questions of law, these are also reviewed de novo. *Bentley v. Boyajian (In re Bentley)*, 266 B.R. 229, 234-35 (B.A.P. 1st Cir. 2001).

STATEMENT OF THE CASE

The Debtor commenced this case on April 1, 2021, by filing a voluntary petition under Chapter 13 of the Bankruptcy Code. Appellant's Appendix (hereinafter "App.") at 253. On Schedule I, the Debtor listed his occupation as "Sales" at "Green Star Herbal," a retail cannabis dispensary. *Id.* In September 2021, the United States Trustee filed a Motion to Dismiss, also objecting to confirmation of the Debtor's proposed Chapter 13 plan. *Id.* Debtor opposed the Motion and the Court conducted an evidentiary hearing on March 11, 2022, at which the Debtor testified and for which the parties submitted stipulations. App. at 136-37, 253. As of September 2021 and at the time of trial, the Debtor no longer worked for Green Star Herbal, but was employed by TYCA Green, Inc. d/b/a Society Cannabis Co. ("TYCA Green"), a retailer, wholesaler, and producer of cannabis products. TYCA Green has a cultivation license, and its products include smokable, edible, and other cannabis products. *Id.*

As of December 2021, Debtor was the general manager of a TYCA Green facility located in Clinton, Massachusetts. Debtor was involved in all aspects of

operations at the Clinton facility, including retail, wholesale, production, marketing, and human resources. The Debtor was one of three on the Clinton facility's management team, which included the Debtor, the chief executive officer, and the chief operating officer. *Id.* Debtor supervised the sixteen full-time employees at the Clinton facility. *Id.* Debtor is licensed under Massachusetts law to dispense cannabis products, and he would often cover shifts in the retail operation. App. at 254. Debtor does not have any ownership interest in TYCA Green, nor has he been promised any. *Id.* Debtor's paystubs indicated that he earns $75,000 per year. *Id.*

Debtor testified that, during the pandemic, his spouse accessed her retirement funds and deposited what the Debtor believed to be more than $70,000 initially into their joint checking account, later transferring those funds into a savings account. *Id.*

Earlier in the proceeding, the Chapter 13 Trustee objected to the confirmation of the Debtor's Chapter 13 Plan, raising inter alia the issue of these retirement funds not being contributed to the then-proposed version of plan, afoul of the requirements of 11 U.S.C. § 1325(a)(4). App. at 88-91. To resolve the objection, Debtor and the Chapter 13 Trustee entered into a stipulation, App. at 131, which was approved at the March 11, 2022, hearing. App. at 142. The stipulation provided, inter alia, that the Debtor is to make a lump sum payment of

$12,000 within 30 days, and within 30 days of the resolution of the US Trustee's Motion to Dismiss the Debtor is to file an amended plan to provide no less than a 100% dividend to unsecured creditors, other than a student loan which would be treated outside the plan. App. at 131. A 100% plan became possible because upon the expiration of all deadlines for the filing of claims the allowed unsecured claims (other than the student loan) totaled approximately $24,000 (App. at 151-52, Trustee stating that the $12,000 lump sum payment would cover 50% of claims other than the student loan), which was far less than the $557,297.94 initially indicated on the Debtor's Schedules. App. at 55.

At the evidentiary hearing, Debtor testified that, in lieu of using the Debtor's wages to fund the Chapter 13 Plan, the plan payments could instead be made from the retirement funds. App. at 254.

At the conclusion of the March 11, 2022, hearing the court took the matters under advisement and requested post-trial briefs, which were submitted by both parties (App. at 147, 190-227, 228-51).

On January 17, 2023, the court issued its Memorandum of Decision, App. at 252-70, sustaining US Trustee's Objection to Confirmation and granting the US Trustee's Motion to Dismiss. The court found that Debtor's employment responsibilities violate several federal criminal statutes, App. at 262, and that therefore the case was not filed in good faith as required by 11 U.S.C.

§ 1325(a)(7). App. at 265. Similarly, the court found that the plan was not proposed in good faith as required by 11 U.S.C. § 1325(a)(3), and that therefore confirmation must be denied. App. at 265. Further, the court found that such lack of good faith constitutes cause for dismissal pursuant to 11 U.S.C. § 1307(c), including § 1307(c)(5), as the court also denied the debtor's request for an opportunity to propose an amended plan funded solely by his spouse's wages or retirement funds, which are not connected to cannabis. App. at 267. Moreover, the court held that the case must also be dismissed for abuse of process under 11 U.S.C. § 105. App. at 267-68.

Via this timely appeal, App. at 272, Debtor challenges the dismissal of his Chapter 13 case, denial of confirmation, and denial of an opportunity to submit an amended plan funded by funds unrelated to cannabis.

SUMMARY OF ARGUMENT

The United States Trustee's Motion to Dismiss and Objection to Confirmation should not have been allowed and sustained merely because the Debtor's employer is a state-authorized cannabis retailer, an activity currently unlawful under the Federal Controlled Substances Act, which is at odds with state law. Because bankruptcy courts have a long history of granting relief to debtors whose activities included violations of criminal laws, and because Congress did not adopt a zero tolerance policy requiring dismissal of any bankruptcy case involving a violation

of the Controlled Substances Act, where, as here, an individual Debtor is not a stakeholder but a mere employee at a state-authorized cannabis retailer and where the reason for the bankruptcy filing is unrelated to cannabis, the nature the Debtor's employment should not serve as basis for finding a lack of good faith, nor an abuse of process, nor as cause for dismissal, nor as a bar to obtaining bankruptcy relief. Thus, the matter should not have been dismissed.

Unlike other cases where debtors were unable to propose a plan that does not rely on cannabis-derived income, here the Debtor had already entered into a stipulation with the Chapter 13 Trustee – who did not join the United States Trustee in moving to dismiss – obligating the Debtor to propose a 100% plan which can be funded in whole from non-cannabis sources, namely his non-filing spouse's retirement withdrawal and non-filing spouse's wages. This plan would pay 100% of all allowed unsecured claims, other than a long-term student loan, which would be paid outside of the plan. Accordingly, Debtor should have been afforded the opportunity to file an amended plan consistent with his stipulation with the Chapter 13 Trustee.

ARGUMENT

I. Dismissal for lack of good faith found solely based on the type of Debtor's employment was error

The Bankruptcy Court dismissed the Debtor's Chapter 13 case "for cause" pursuant to § 1307(c), citing lack of good faith because "[t]he Debtor filed this voluntary Chapter 13 case while engaging in activities in the course of his employment that violate federal criminal laws and, in his new employment, the Court has found that his actions continue to violate federal criminal laws[,]" App. at 265, specifically the Controlled Substances Act (CSA). App. at 261.

As one court observed:

> It is worth noting, however, that bankruptcy courts have a long history of considering cases involving debtors whose activities and operations have included past, present and possibly ongoing violations of applicable non-bankruptcy, civil and criminal laws. See, e.g., *Midlantic Nat'l Bank v. New Jersey Dept. of Envt'l Prot.*, 474 U.S. 494, 106 S.Ct. 755, 88 L. Ed. 2d 859 (1986) (voluntary Chapter 11 of waste oil processor that possessed leaking containers of cancer-causing substances in violation of state and local law was converted to Chapter 7, rather than dismissed); *In re Freedom Industries, Inc.*, Case No. 14-bk-20017 (Bankr. S.D. W.Va. Jan. 17, 2014) (voluntary Chapter 11 filed by chemical producer after chemical spill contaminated Elk River; Chapter 11 plan of reorganization confirmed even though the debtor and officers were subsequently sentenced for criminal violations of the federal Clean Water Act and federal Refuse Act).

In re CWNevada LLC, 602 B.R. 717, 728 n.25 (Bankr. D. Nev. 2019).

Specifically with respect to the Controlled Substances Act, the recent case of *In re Hacienda Co., LLC*, 647 B.R. 748 (Bankr. C.D. Cal. 2023) provided a discussion so pertinent to the instant matter that it warrants a recitation in full:

> Congress did not adopt a "zero tolerance" policy that requires dismissal of any bankruptcy case involving violation of the CSA (or other activity that might be proven to be illegal). See [Burton v. Maney (In re] Burton[)], 610 B.R. [633,] 637 [(B.A.P. 9th Cir. 2020)] (no per se rule requiring dismissal when marijuana is present).

In re Hacienda Co., LLC, 647 B.R. at 754-55.

As one court noted, "a finding of lack of good faith should not [be] lightly infer[red]. … [W]e cautioned that dismissal should be confined carefully and utilized only in egregious cases that entail concealed or misrepresented assets and/or sources of income, lavish lifestyles, and intention to avoid a large single debt based upon conduct akin to fraud, misconduct or gross negligence." *Perlin v. Hitachi Capital Am. Corp. (In re Perlin)*, 497 F.3d 364, 373 (3d Cir. 2007) (quoting *Tamecki v. Frank (In re Tamecki)*, 229 F.3d 205, 207, 208 (3d Cir. 2000)) (internal quotation marks omitted).

"[B]ankruptcy and district courts have reserved bad faith dismissal for the truly egregious case, often involving individuals with substantial means who have flaunted their wealth, have continued their lavish lifestyles, and are engaging in

creative, elaborate schemes to conceal their assets and cheat their creditors or to otherwise inflict harm on third parties." *In re Tamecki*, 229 F.3d at 209 (Rendell, J., dissenting).

None of this is the case here. The dismissal was in error and must be reversed.

II. Dismissal under Section 105 for abuse of process was error, as there is no unconscionable scheme that prejudices the parties

The Bankruptcy Court further erred in holding that the Chapter 13 proceeding must also be dismissed for abuse of process under 11 U.S.C. § 105. App. at 267-69. "While the bankruptcy courts have fashioned relief under section 105(a) in a variety of situations, the powers granted by that statute may be exercised only in a manner consistent with the provisions of the Bankruptcy Code. That statute does not … constitute a roving commission to do equity." *United States v. Sutton*, 786 F.2d 1305, 1308 (5th Cir. 1986).

III. Denial of confirmation and denial of opportunity to file an amended plan was error

Aside from dismissal, the Bankruptcy Court also denied confirmation for lack of good faith under 11 U.S.C. § 1325(a)(3), App. at 265, and further denied an opportunity to file an amended plan, finding that such amendment would be "futile," which in itself served as a separate cause for dismissal under 11 U.S.C.

§ 1307(c)(5). App. at 267. However, "a Chapter 13 plan may be confirmed despite even the most egregious pre-filing conduct where other factors suggest that the plan nevertheless represents a good faith effort by the debtor to satisfy his creditors' claims." *Neufeld v. Freeman*, 794 F.2d 149, 153 (4th Cir. 1986).

A. Lack of good faith finding under § 1325(a)(3) was erroneous; the court looked to factors beyond the manner of proposal of the plan

"[C]ourts have articulated the following factors in analyzing whether a Chapter 13 plan has been filed in good faith: (1) the debtor's accuracy in stating her debts and expenses; (2) the debtor's honesty in the bankruptcy process, including whether she has attempted to mislead the court and whether she has made any misrepresentations; (3) whether the Bankruptcy Code is being unfairly manipulated; (4) the type of debt sought to be discharged; (5) whether the debt would be dischargeable in a Chapter 7; and (6) the debtor's motivation and sincerity in seeking Chapter 13 relief." *Cabral v. Shamban (In re Cabral)*, 285 B.R. 563, 573 (B.A.P. 1st Cir. 2002).

In the instant case, the Bankruptcy Court failed to address any of these factors, and instead found lack of good faith in filing the plan under 11 U.S.C. § 1325(a)(3) solely because the Debtor's employment is an activity that ostensibly violates federal criminal law. App. at 265. This was error, as courts have

interpreted the identical language in 11 U.S.C. § 1129(a)(3)[1] to apply only to the steps taken in ***proposing*** the plan or seeking confirmation, not its underlying terms.

B. Denial of opportunity to propose a plan funded by sources unrelated to cannabis was error

The Bankruptcy Court did not grant the Debtor an opportunity to file an amended plan funded by sources unrelated to cannabis, holding that such amendment "would be futile." App. at 267. Other courts disagreed. See *In re McGinnis*, 453 B.R. 770 (Bankr. D. Or. 2011) (court denied confirmation but permitted the filing of an amended plan that relied on funding from non-cannabis sources), *In re Johnson*, 532 B.R. 53 (debtor may remain in bankruptcy if he ceased his marijuana business). "The common theme in all of these Chapter 13 cases is the willingness of the bankruptcy court to allow the voluntary debtor to propose a feasible plan that does not rely on income received through a violation of the Controlled Substances Act." *In re CWNevada LLC*, 602 B.R. at 733.

In the instant case, as previously explained, see supra pp. 22-23, per the Approved Stipulation, App. at 131, 142, Debtor is already obligated to propose a plan that pays a 100% dividend on the allowed unsecured claims (except for a

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[1] "Section 1325(a)(3) parrots the language in Section 1129(a)(3), and requires the court to find that a proposed Chapter 13 plan 'has been proposed in good faith and not by any means forbidden by law.' 11 U.S.C. § 1325(a)(3)." *In re CWNevada LLC*, 602 B.R. at 731 n.33.

student loan claim, which is long-term, and will be paid outside the plan). The Approved Stipulation provides that the Debtor is to file this amended 100% plan within 30 days after the resolution of the instant US Trustee Motion. App. at 131. This plan could be funded in full by a portion of the spouse's Retirement Withdrawal, which has no cannabis taint. See supra at p. 23. Aside from the Retirement Withdrawal, the Debtor's spouse's wages (also unrelated to cannabis) are available to fund a plan. App. at 59, 163-64, 259-60, 267. No wages of the Debtor would be necessary to fund this 100% plan via which all unsecured creditors with allowed claims would be paid in full (with the exception of the student loan to be paid outside the plan), and not a penny would need to be funded from any cannabis-derived source. With this approach, Debtor's place or type of employment is no longer relevant, and a plan that pays 100% of all allowed unsecured claims (minus the student loan) should hardly be considered "futile."

Accordingly, the denial of an opportunity to propose an amended plan and the resulting finding of cause for dismissal under § 1307(c)(5) were errors, and this Panel should reverse the same.

CONCLUSION

WHEREFORE, for reasons set forth in this Brief, Debtor requests that this Panel reverse the decision of the Bankruptcy Court, vacate the order of dismissal, and remand this matter to the Bankruptcy Court with instructions for further

proceedings, including directing the Bankruptcy Court to permit the Debtor to propose an amended plan.

Respectfully submitted,
May 5, 2023

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CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(A) because it contains 3218 words, excluding the parts of the brief exempted under Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, Times New Roman 14-point, using the vendored font.

s/ DMITRY LEV
Dmitry Lev BBO # 665236
Dated: May 5, 2023

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Appellee.

STATEMENT REGARDING RELATED CASES
1st Cir. BAP L.R. 8014-1(a)(2)

☐ The undersigned certifies that the following are known related cases and appeals:

☒ The undersigned certifies that the undersigned knows of no related cases or appeals as that term is defined in 1st Cir. BAP L.R. 8014-1(a)(2)(A).

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Appellee.

STATEMENT REGARDING INTERESTED PARTIES
1st Cir. BAP L.R. 8014-1(a)(3)

☐ The undersigned certifies that the following parties have an interest in the outcome of this appeal. These representations are made to enable the judges of the Panel to evaluate possible disqualification or recusal.

☒ The undersigned certifies that the undersigned knows of no interested party as that term is defined in 1st Cir. BAP L.R. 8014-1(a)(3)(A).

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